S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2020
Question: Sensitivity Analysis & Stress Testing (including Water and Climate)
Include Modeled Scores : Yes

Sensitivity Analysis & Stress Testing (including Water and Climate)

Question

Does your company perform sensitivity analysis and stress testing on a group level? Please attach supporting evidence.

Rationale

Effective risk and crisis management is vital for long-term financial planning and organizational flexibility. Companies need to implement internal control processes to comply with existing regulations and be proactive in developing their control mechanisms. To better capture more extreme versions or more uncommon types of risks in addition to market or price risk, robust sensitivity analysis and stress testing should be performed.

Performance Summary	
Question Level Company Performance	25
Question Weight	29
Year-on-Year Change	25
Industry Average Score	36
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Sensitivity analysis: This is the name given to any procedure that tests the particular outcome of any given set of inputs under a given set of assumptions. It is important in risk analysis because it is a useful tool for gauging the outcome of all kinds of scenarios and events. Analysts conducting sensitivity analysis will ultimately be concerned with determining how changes in one or more inputs could affect the output of interest.

Stress testing: This is a simulation technique used on assets, portfolios or positions of interest to determine their reactions to different events that are not usually captured in more traditional value or risk analysis. Stress tests are used to gauge how certain stressors (events, risks, megatrends) or extreme circumstances could affect a company or industry. They are usually computer-generated simulation models that test hypothetical scenarios. The Monte Carlo simulation is one of the most widely used methods of stress testing.

Financial risks: Risks that arise from exposure to financial markets. Examples:

- **Credit risks**: uncertainty about whether the counterparty to a transaction will fulfill its contractual obligations.
- **Liquidity risk**: Risk of loss when selling an asset at a time when market conditions make the sales price less than the underlying fair value of the asset.
- **Market risk**: Uncertainty about market prices of assets (stocks, commodities, and currencies) and interest rates

Non-financial risks: Risks that arise from the operations of the organization and from sources external to the organization. Examples:

- **Operational risk**: Risk that human error of faulty organizational processes will result in losses.
- **Solvency risk**: Risk that organization will be unable to continue to operate because it has run out of cash.
- **Regulatory risk**: Risk that regulatory environmental will change, imposing costs on the firm or restricting its activities.
- **Governmental or political risk (including tax risk)**. Risk that political actions outside a specific regulatory framework, such as increases in tax rates, will impose significant costs on an organization.
- **Legal risk**: Uncertainty about the organization's exposure to future legal action.
- **Model risk**: Risk that asset valuations based on the organization's analytical models are incorrect.
- **Tail risk**: Risk that extreme events (those in the tails of the distribution of outcomes) are more likely than the organization's analysis indicates, especially from incorrectly concluding that the distribution of outcomes is normal.
- **Accounting risks**: Risk that the organization's accounting policies and estimates are judged to be incorrect

Data View

No information was found in the public domain.

Questionnaire

Does your company perform sensitivity analysis and stress testing on a group level? Please attach supporting evidence.

1. ○
   1. ☐ Yes, on changes in financial risks, such as exchange and interest rates
   2. ☐ Yes, on climate change risks
   3. ☐ Yes, on changes in water availability or water quality
   4. ☐ Yes, on other risks (e.g. operational risks, market risks, strategic business risks, compliance risks). **Please specify** which risks and provide supporting evidence of the sensitivity analysis:
2. ○ No, we do not perform sensitivity analysis and stress testing at the group level.

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3. Not applicable. Please provide explanations in the comment box below.

4. Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.